UNIT 2 · WHAT'S WRONG AND WHAT TO MEASURE

Term Structure of Private Capital

Session 5 · How illiquidity premium varies with horizon

Samir Asaf, PhD, CFA, CMA, CTP, CM&AA

Senior Partner, Regent Financial LLC, New York

Former Finance Instructor, Stanford University

Primary Text: Liquidity Illusion (Forthcoming, 2026)

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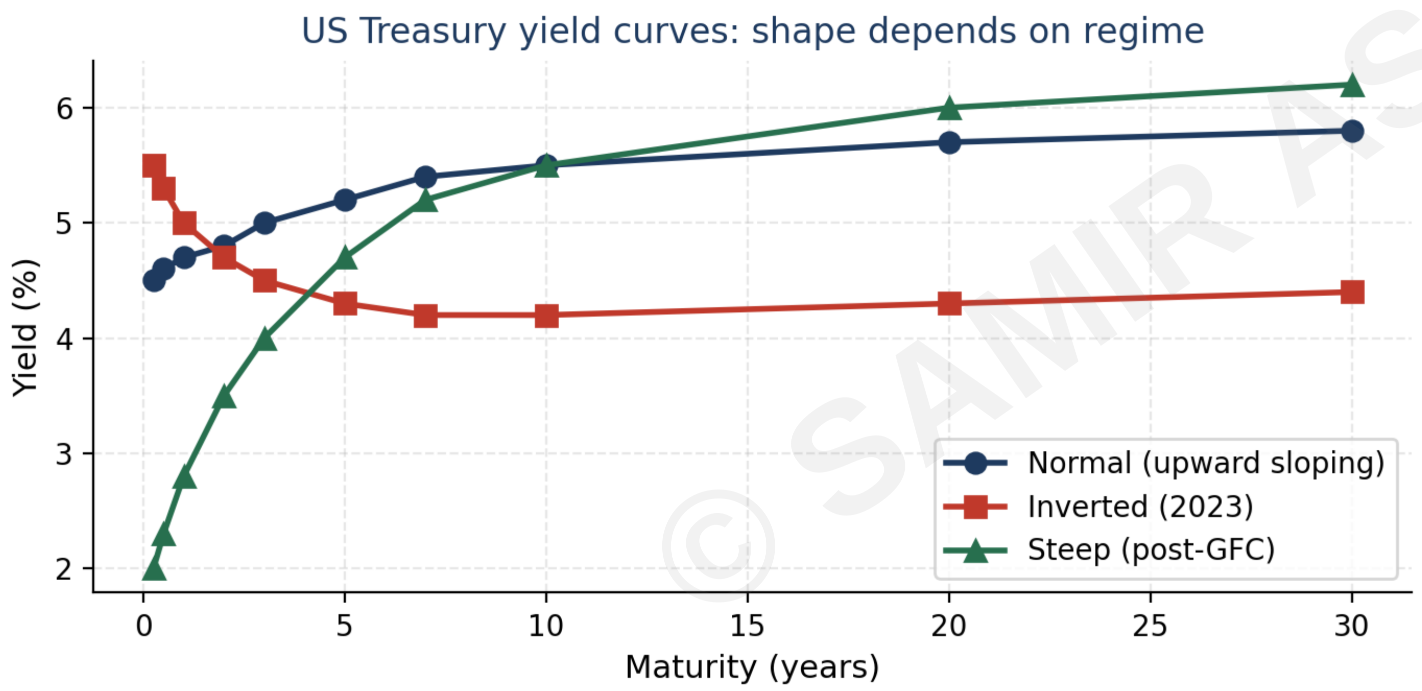
What we'll cover today

1. **The term structure concept**
   From bonds to liquidity
2. **Empirical evidence**
   How premium varies with fund age
3. **Why DCF gets this wrong**
   Constant premium across horizon
4. **GE-LAV term-structure formula**
   h(L, T): state and horizon
5. **Practitioner implication**
   Vintage-year considerations

Bond market term structure: a familiar parallel

From the fixed-income world: yield-to-maturity varies with horizon (yield curve).



The parallel for liquidity

Bonds:

yield varies with time-to-maturity

Private capital:

illiquidity premium varies with time-to-exit

Bond yield curve:

shape changes with regime

Liquidity term structure:

shape changes with regime

DCF analog:

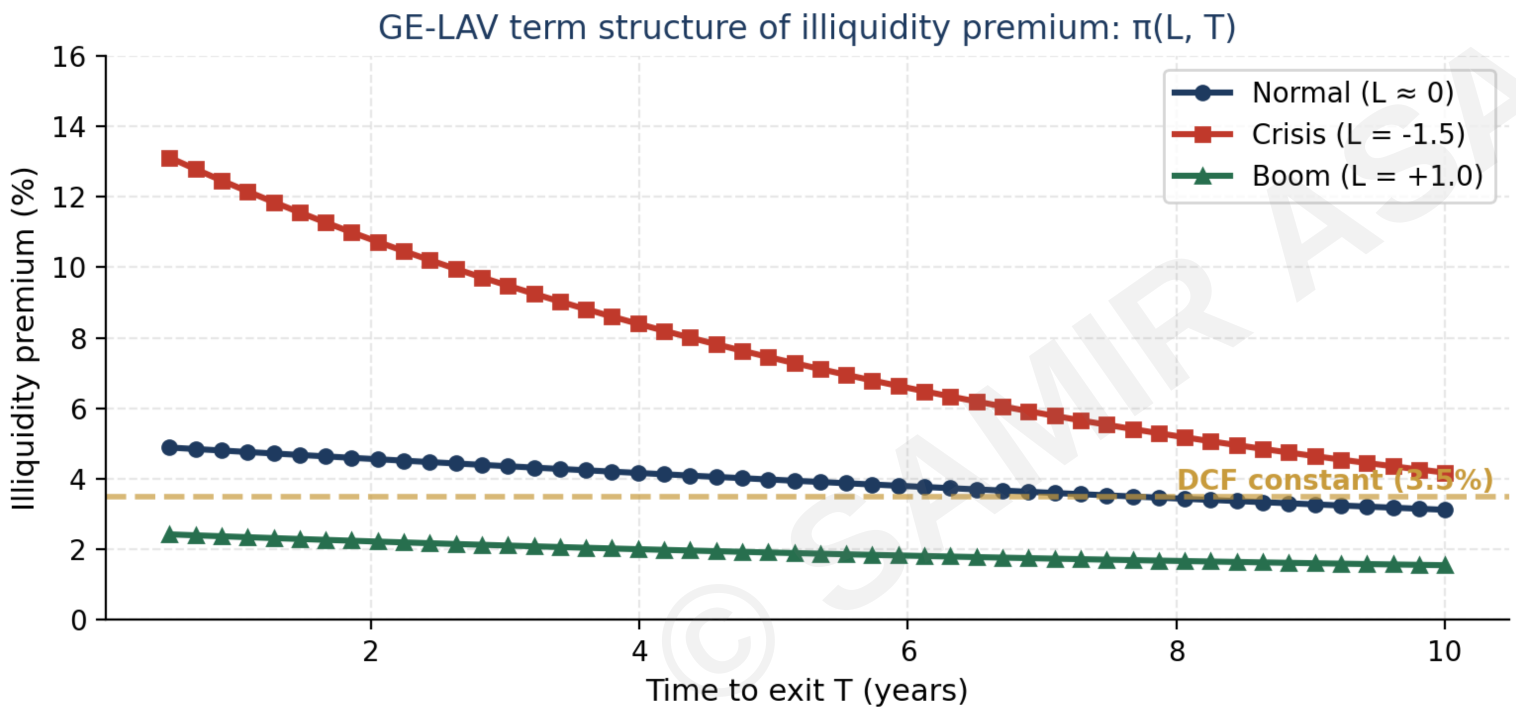
would use one single yield for all maturities

DCF reality:

uses one constant illiq premium across horizons

Section 1.7 of the book formalizes this analogy.

PE liquidity premium term structure



Result of book chapter 7: $\pi(L,T) = \alpha(T) + \beta(T)\cdot L + \gamma(T)\cdot L^2$

Two-dimensional dependence

Dimension 1: Time

Premium decays as the exit window approaches

Dimension 2: State

Premium varies with current L(t) regime

Key insight

Even a fund with 7 years remaining and held in a 'normal' state has a different premium than one with 2 years remaining.

Practitioner implications: vintage and timing

Term structure thinking changes how you value and time PE positions:

Vintage selection	DCF: all vintages priced with same premium. GE-LAV: 2009-vintage (mature) and 2024-vintage (early) face different term-structure profiles even if held in same state today.
Exit timing	DCF: hold-to-maturity assumed. GE-LAV: state-dependent optimal exit boundary (Session 12) → may exit early or hold longer.
Secondary market pricing	DCF: comparable transactions used directly. GE-LAV: must adjust for buyer's time-to-exit horizon, not seller's.
Portfolio construction	DCF: PE one asset class with one premium. GE-LAV: must diversify across vintages AND states; risk profile depends on both.

Session 5 summary

What we accomplished today

1. Illiquidity premium varies with horizon (term structure) AND with state — two-dimensional dependence
2. DCF uses a single constant; GE-LAV uses $\pi(L, T)$ which captures both dimensions
3. Analogous to bond yield curve: shape changes with regime
4. Practical implications: vintage-aware pricing, optimal exit timing, regime-aware portfolio construction

Next session

Session 6: IRR — definition, biases, and why TVPI is necessary but not sufficient